

way. So, Arthur and I could never really evolve into any meaningful contributors. I was inherently high energy, rebellious, and emotionally pretty brutal to people; and as soon as I realized Father could never delegate, I knew I had to distance myself from him for both our sakes. Otherwise, there was no opportunity for me, and either he would hurt me or I would hurt him or both. It took Arthur four more years to leave, and initially he left to join me. But it is tough for an older brother to join his younger brother as a junior partner, and that wasn't meant to be. So, Arthur left the industry and I remained, but separate, interacting but distanced from Father. These years were the first real disappointments since *Common Stocks and Uncommon Profits* appeared. They included both the brutal 1973–1974 bear market and the beginning of Father's body starting to slow a bit. In 1977, he was seventy; and while he would never admit it and while still exceptionally energetic for a man that age, he wasn't as buoyant as he had been and for the first time began to show the early signs of aging. His hair was thinning and partially gray now. In the afternoon train rides down the peninsula, he started falling asleep regularly. Sometimes in the after-noon, he fell asleep at his desk. He was due, but he couldn't quit.

Editor: should this be "even"?

During these years, he determined that he would improve the quality of his holdings by weeding out the weakest among the few he owned to own even fewer of higher quality. In retrospect, and without him fathoming it, what he was doing was cutting down the universe requiring his attention to match diminishing energy. Early in his career, he might have owned thirty stocks: a few big established ones, some mid-sized ones he had bought as smaller companies and still held and would for decades, some small ones for which he had high and long hopes, and a handful of private-placement, venture cap-type holdings in tiny amounts that he thought of as icing rather than cake. In the mid-1970's, he steadily and slowly sold the ones he thought less of and concentrated on his favorite holdings, so that by about 1990 he held six stocks and by 2000 he held three. None of it went well. My advice to all investors is to stop making investment decisions of any kind when you get old, whatever "old" means to you. Stop before you get old. I've watched great investors age, and there are no old, great investors. There are old men who were great; but the process of investing is too vital to allow for old age